

WCF

WCF Ltd Annual Report & Financial Statements 2024



Niche Retailing



Specialist Distribution



Leisure

WCF LTD

Our Vision

To hand WCF over to future generations of employees in a stronger financial position for the future than when we inherited it, so that they can benefit from its continued existence and resilience.

Our Mission

To create a workplace where every individual matters and has a unique opportunity to make a difference to our performance with meaningful, diverse and interesting roles.

THE GROUP

RETAIL

WCF Pet & Equestrian
WCF Home Shopping - Country Collection
- James Meade
- The Classic Boutique

Bella di Notte

LEISURE

Herdin Hill Farm
Drummohr
Longnor Wood

DISTRIBUTION

WCF Fuels North West
WCF Chandelers
WCF Fuels North East
Allan Stobart Lubricants and Fuels
A1 Lawn
Progreen Weed Control Solutions

DIRECTORS AND OFFICERS

NON EXECUTIVE

D.A. Routledge C.I.P.D. - resigned 12.01.24
M.S. Ward F.C.A.
D. Sowards - appointed 01.11.23

EXECUTIVE

Managing Director - J.L. Ritzema F.C.A. CDir - Chair
Deputy Managing Director - P.J. Murray A.C.A.

COMPANY SECRETARY

P.A. Murray A.C.M.A.

REGISTERED OFFICE

Crawhall
Brampton
Cumbria
CA8 1TN

Website: www.wcf.co.uk

BANKERS

HSBC Bank plc
Lancashire Com. Centre
1 Forest Green
Caxton Road
Fulwood
Preston PR2 9LJ

SOLICITOR

Knights PLC
2 Merchant's Drive
Carlisle
CA3 0JW

AUDITOR

Dodd & Co Audit Limited
FIFTEEN Rosehill
Montgomery Way
Rosehill Estate
Carlisle
CA1 2RW

CHAIR'S STATEMENT

FINANCIAL RESULT

23/24 was a challenging year for the majority of our businesses. Total operating profits fell to just £1.3m, a decrease of £1.8m on prior year. Whilst all our businesses individually made a profit, the majority were at lower levels than we have seen previously. For more information, please read our individual Operating Reviews on pages 4 to 9.

The business was adversely impacted by a number of external factors, notably the ongoing mild and wet weather, as well as the 10% increase in the Real Living Wage which we were unable to recoup in the form of higher prices to our customers. We remain committed to an ongoing investment to steadily improving the earnings of our lowest paid employee owners.

Overall revenues fell by 9.8%, with fuels revenues being down 12.2% as pricing normalised following the pandemic and Ukraine war. The year was one of both stable pricing and stable supply. The average price of Brent crude was around \$83 a barrel during the financial year, about 8% lower than the previous year which averaged \$90.

Underlying activity increased, with fuels volumes 0.8% up on last year but there was a 5.2% fall in the average pence per litre caused by both product mix and competitor activity, particularly in the East, as the industry struggled with over-capacity and the mild and wet weather reducing heating oil volumes by 4.1%.

Excluding Fuels and the impact of the sale of WCF Horticulture, revenues rose £5.2m or 20.2%, which included £4.4m from the acquisition of Bella di Notte. Without the acquisition non fuels revenues would have been up 3.2%, driven by our most recent acquisitions in leisure and ecommerce.

CASHFLOW

Group shareholders' funds fell from £37.9m to £36m. Cash at bank and investments fell from £12.4m to £10m following the acquisition of Bella di Notte Ltd in Dec-23. We took out a £3m bank loan to fund the acquisition whilst ensuring that we maintained our strategic cash buffer. In the event our cash flow was better than expected and we had repaid £1.2m of this loan by May-24.

We generated cash of £3.2m from operating activities, up £0.3m on last year.

Our capital expenditure reduced from £2.1m to £1.0m as the program of refurbishments on our fuels depots and campsites is substantially completed. We will continue an ongoing maintenance and rolling upgrade program year on year to maintain the 5-star facilities in leisure.

ACQUISITION ACTIVITY

We are delighted to announce the acquisition of Bella di Notte Ltd, a mail order competitor retailing ladies clothing, during the year. Bella is based in Malton, North Yorkshire and allows us to consolidate our position as one of the market leaders in the mature sector. A fashion driven brand, specialising in trousers and lingerie, the acquisition provides us access to a wider demographic of customers and supply chain which will benefit all our clothing brands. There is a huge amount of collective experience within the Bella team. 50% of their business is done online allowing us to access new customers in different ways. Bella will be run separately to our existing Home Shopping business, but we have identified lots of opportunity for collaboration. I would like to welcome the team to WCF and pass on my thanks to Tracey Cannon and Karen Kelso for their help with the integration. The assets of Bella di Notte Limited will be hived up into WCF Ltd during the 24/25 financial year.

BOARD SUCCESSION

Our Chair David Routledge retired from the Board in Jan-24. As part of his succession our Managing Director Jo Ritzema has temporarily assumed the role of Executive Chair and Martin Ward retains his role as Senior Independent Director with specific responsibility for audit, compliance and risk management. We have recruited a new non-executive director David Swards who joined the Board in Nov-23. Dave has extensive marketing experience, having founded one of the largest agencies in the UK and brings considerable expertise to our B2C operations.

BUSINESS CHANGES

As previously reported, we transferred the trade and assets of WCF Horticulture to ISJ Horticulture in Jul-23. Revenues from WCF Horticulture in 22/23 were £1.8m.

In May-24, following a prolonged period of intense competitive pressure, we merged our two fuels businesses on the East – Fuels North East and Chandlers. This allowed us to remove a layer of management and duplicate cost and sadly a number of our colleagues left us due to redundancy. We thank them for their service and wish them well for the future. The merged business will be ran jointly by Charlotte Carratt, Head of Sales and Marketing and Paul Green, Head of Operations and there will be no change to our either depot infrastructure or fleet size.

WCF LTD RETIREMENT BENEFIT SCHEME

The triennial actuarial valuation of the pension scheme took place effective Apr-23 which showed a scheme deficit of £0.1m, an improvement of £2.7m on the Apr-20 valuation. The Scheme Trustee continued their process of buying out pensioner members at retirement. As part of the Scheme funding, WCF agreed with the Trustee to make annual payments of £0.8m, with the view to securing a buy out of the remainder of the scheme within the next 3-5 years. This can be achieved within our existing cash flows and will not constrain our development activity elsewhere.

The scheme position has been calculated under FRS102 for the purposes of these accounts as at May-24. This shows a scheme surplus of £1.3m which has not been recognised as an asset in the balance sheet since there is little likelihood of these funds being returned to the company. The funds will be used to buyout the remaining scheme liabilities with an annuity provider.

The profit and loss account in the year shows a one-off charge of £0.2m, being the difference in settlement cost between the provision made in the May-23 accounts for retiring pensioners not yet bought out and the actual cost paid to the annuity provider, with the cash roll-up taking place every 2 years.

DIVIDEND

A copy of the Dividend Policy, which links shareholder income directly to our current year results, is included at the rear of this Annual Report.

The directors have declared a dividend of 20.0 pence per share which represents 34.5% of the adjusted profits and a dividend cover of 0.6. This will be paid on or before 1st November 2024 to all shareholders on the register of members at 12th September 2024.

AGM

There are no matters arising that are required to be put to the shareholders at an Annual General Meeting. The holding of such meeting is not a legal requirement for a private limited company that does not have its shares admitted to trading on a regulated market in an EEA state, nor is it mandatory under our Articles of Association. The directors believe that their approval of the annual

report and accounts and the declaration of the dividend are in the best interests of the Company and its shareholders as a whole.

SHARE REGISTRAR

As a result of declining shareholder transactions, the removal of share transfers on a deceased estate and an increase in shareholders choosing to complete the forms electronically we have opted to automate the share registrar process. Shareholders are asked to email shares@wcf.co.uk from where they will receive copies of the relevant forms and information requested. The share box will be monitored daily by one of the team and individual calls can be arranged if required. Please note we no longer accept cheque payments for share purchases.

OUTLOOK

After a challenging period, our focus remains on ensuring that we deliver the required value from our recent acquisitions, as well as increasing the number of new customers we attract. Being realistic about the UK climate we also need to ensure that our businesses are resilient and diverse enough to cope with the continued mild and wet weather, particularly if the current stability of oil supply and pricing continues.

We have made a number of business, infrastructure and personnel changes to ensure that we are focussing on the things that will make the most difference and are operating as efficiently as we can be, recognising that we are not always able to pass on any cost increases to our customers. We continue to explore new routes to market and have invested in additional digital expertise to help us do this. Our marketing expertise remains one of our key strengths.

On behalf of the Board, I would like to thank every employee owner for their continued loyalty and commitment to the sustained success of the WCF legacy. The challenging external climate means that some of our strategic initiatives are not yet generating the success they deserve but this does not mean that we do not recognise and appreciate the hard work and commitment that is going into their execution.

JL Ritzema – Executive Chair



ANNUAL SUMMARY

FUEL OIL DISTRIBUTION

Combined profits were 16.9% down on last year but there was a slight increase in the underlying activity, with total volumes up 0.8% despite a 4.1% fall in heating oil volumes as a result of another mild and wet winter. Average bulk pence per litre margin was 5.2% lower than last year.

Periods of price instability or supply constraints tend to increase margin due to the uncertainties they engender in the marketplace. After a number of adverse events in recent years including the pandemic, driver shortages and the Ukraine war, whilst the cost-of-living crisis prevailed, there were no other external events and we saw a stable oil price, with the expected normalisation of pricing. These market conditions create a highly competitive environment where capacity to supply across the industry exceeds customer demand. At times like these, consumers are more price conscious, as well as being able to keep their tanks at minimum levels. Because of the high fixed depot and tanker costs, the industry is typically slow to react in terms of an overall reduction in capacity resulting in additional competition for the work that is there. This naturally results in pressure on operating margins.



We are playing an active role in the energy transition and Phil Murray, our Deputy Managing Director, became President of UKIFDA (United Kingdom and Ireland Fuel Distributors Association) in Jun-24. UKIFDA are leading the discussions with government around the proposed transition to renewable fuels. Our businesses are equipped to deliver the new fuel, but the price differential is currently too cost prohibitive for it to be a realistic ongoing alternative for our customers.

Our focus has been on improving operational efficiency, targeting lapsed customers, improving our levels of customer loyalty to encourage them to order direct as well as increasing our on-line offer. This has been successful. Merging our commercial and domestic teams has also been beneficial, with the teams undertaking professional sales training.



Our businesses in the East, where competition is much stronger, have had a very difficult period. We have been unable to replace the volumes lost as a result of the gas oil changes in Apr-22 with sufficient good commercial volume and did not make the required changes to reduce our cost base quickly enough. This adversely impacted our current year profits but has now been addressed. We will continue with the 4-10 driver shift pattern which was introduced at the start of the financial year, update driver incentive schemes and recruit more drivers to fill the rest day gap.

In May-24 we merged our **CHANDLERS** and **FUELS NORTH EAST** businesses. Over 60% of the North East business was diesel and it did not have the diversity of income streams when it failed to win commercial work on price. Changers successfully grew its diesel and gas oil work by over 14% in the year, but with over a third of its revenues coming from heating oil it suffered from the mild winter and its higher multi-depot cost base.

Whilst both brands continue to trade under their respective names, we will bring them together in the coming months. The reduction in overall cost, a relentless focus on marketing and a renewed diligence on transport efficiency will provide the combined business with the gap it needs to price competitively again. It will allow us to align the depot geographies and vehicles better with the work that we have and maximise the benefits of a combined supply chain.

Our businesses in the West have both had a more successful year and will continue to operate independently. Volumes at **ALLAN STOBART LUBRICANTS & FUELS** grew 3.6% and it was the only fuels business to make its financial Budget. Kerosene volumes increased 4% despite the mild winter, due to higher-than-average levels of customer loyalty in the area and development of additional online sales channels. Commercial work grew 4%. **FUELS NORTH WEST** saw volumes fall 6.2% but managed to maintain its average margins. The management team at Carnforth has been re-structured.



The customer journey has been mapped on and offline and we will introduce additional steps to improve their delivery experience including automated emails, SMS messaging, chat bots and a new phone system. The successes of the Chandlers marketing model for domestic customers will be replicated elsewhere. New dashboards will be introduced to ensure that we are obtaining the routing and vehicle efficiencies we need to be competitive and to ensure that our cost base remains aligned with the actual volume capacity we are seeing. We will continue to review geographically aligned acquisition targets.

LEISURE

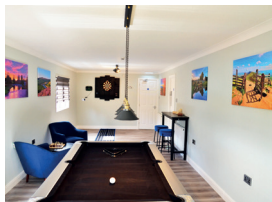
The combined EBITDA for Leisure rose by £0.3m on last year, with all 3 sites posting increases. Revenues were up 22.2%. Occupancy remained a challenge throughout much of the year, which we combatted by introducing additional incentives such as adding additional dog friendly accommodation, allowing minimum 1-night stays, extending our low season pricing and allowing any day arrivals. This helped boost demand when otherwise people might have chosen not to travel as consumers continued to watch their spending habits.

With 85% of guests choosing to book online using their mobile we introduced mobile first websites in May-24, as well as adding an interactive guest app. We will now map the customer journey to understand the key touch points. We hope both of these will improve customer engagement and, using our loyalty programs, make them more likely to book direct rather than a third-party listing. We have invested considerable time ensuring that all listings accurately reflect the USPs of the individual sites.



The continued wet weather did not help particularly in those sites relying on outdoor activities. **DRUMMOHR** had a strong year, with revenues up 40%, helped by our strategy of tying our marketing into Edinburgh events. The proximity of the city means that this site is less weather dependent. We also saw a considerable rise in the number of overseas visitors to Scotland. We completed the refurbishment of the amenity blocks and the site won a number of independent camping awards including Pitch Up's preferred Scottish site and Camping Magazine's UK campsite of the year.

The luxury glamping revenues from our Castle Pods at **HERDING HILL FARM** doubled in the year but there remains considerable scope to boost occupancy to the required levels. We have additional testing to find our desired adults-only audience for this accommodation. Our one-night Wigwam stays are popular with families and allow us considerable upsell opportunity from our optional extras.



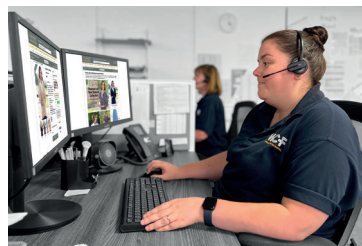
We completed the upgrade of the owner's lodge at **LONGNOR WOOD** adding additional amenities including a gym, sauna, games room and commercial kitchen allowing us to offer pizzas and breakfasts. We intend to push this more in 24/25. The lodge and caravan accommodation listed on Hoseasons has been subject to intense competitive pressure from other sites which have made us look expensive and we have had to adjust our pricing accordingly. We have completed some of the lodge refurbishments with the remainder scheduled for 24/25.

Whilst we have seen increasing numbers of guests staying across all 3 sites there remains considerable opportunity to cross-sell the consistency of the parks. With a resurgence in touring we will review our touring amenities to ensure they remain at the desired 5-star level and cater for the increasing size of motorhomes and caravans. In respect of acquisitions we will also continue to review additional sites that meet our 5-star and location criteria.

NICHE RETAILING

Net revenues in **HOME SHOPPING** were 2.2% up on last year which we are pleased with given that ongoing consumer confidence remains low and inflationary cost pressures remain.

Profits were down as a result of increasing overheads. The majority of our salary costs are referenced to the 10% increase in Real Living Wage. The continued review of our customer journey and the addition of automated touch points will help us better align our overheads with revenues.



Response rates were up slightly in all our ladies catalogues as we implemented a number of format and content changes designed to reinforce their personal connections with the brands and our own identity. Following a review of our range we also trialled new products to fill some of the identified gaps and phased our new product introduction by catalogue.

Gross margin was down on average 0.9 basis points as additional discounting was required to incentivise them to make a purchase. In particular, the postcard mailings are an important source of income. We need to ensure that our size charts reflect our mature profile as an aid to reduce the level of returns.



Our ongoing challenge, due to our mature customer demographic, is to recruit sufficient numbers of new customers to replace those that are leaving us. Price increases on some of our key media lines have meant our offers are no longer as attractive and our 16-page leaflet insert did not perform during the year after we trialled a new offer which was poorly understood by our customers. This hampered our customer recruitment. The introduction of additional product pricing strategies, a review of alternative suppliers and trial of new adverts should help reverse this decline.

Using our enhanced data analysis and marketing capability we will introduce alternative customer contact strategies to personalise what they receive to what they are likely to go on to buy, as well as displaying products to them based on their own history. Whilst the majority of customers still place their order with us via the telephone, increasing numbers now browse on-line and we will be undertaking additional work on the optimisation of our websites.

A new integrated contact management system will show our customer services team all interactions on and offline allowing them to make personalised up-sell recommendations. We will continue our search for an efficient Product Information (PIM) and Digital Asset Management (DAM) system to align our order processing, websites and catalogue creation to help customers make more informed choices and eliminate duplication. We will give our customers more ways to pay using their mobiles with an integrated payment platform.



Specialising in garments with a superior fit, **BELLA DI NOTTE** was acquired in Dec-23 from the founder and revenues for the 6-month period were £4.4m. The results reported in Note 14 reflect a one off adjustment of £0.3m to bring the accounting for the Bella photoshoots and catalogues in line with WCF accounting policy. The business had successfully grown during the pandemic using bought in list mailings and email marketing. We have now expanded their marketing strategies to include lapsed customer and enquirer mailings, Off The Page adverts and digital advertising and are seeing +20% revenue growth rates. We also successfully purchased the UK customer database of Peter Hahn on a non-exclusive basis.

There is an expert and well developed buying and merchandise team and the focus will be on providing them with enhanced data segmentation to understand who is buying what and what they are wearing it with. Weekly Sales, Stock and Intake functionality will also be introduced. We are trialling a co-ordinated system of range planning, outfit building and catalogue pagination to provide a better shopping experience for the customer. Further own brand products will also be introduced.

With a new warehouse management system and warehouse racking we have the capacity to further extend the pick and pack function to meet additional sales demand. The website will be extended to provide additional payment options, back order capability and enhanced merchandising and SEO. A systems development roadmap for the order processing will be agreed with the third party software provider. There may also be opportunities for cost savings in areas such as bank charges and postage as part of the larger WCF family.

After a few years of continued sales growth **PET & EQUESTRIAN** saw it's like for like revenues (excluding Kendal which closed Feb-23) slip 1% year on year. The Castle Douglas and Cockermouth stores both recorded slight increases in revenue on last year. Whilst some product categories were adversely impacted by the weather the pet care sector in particular remains buoyant. The total number of transactions in store was down 10%, with average spend up £0.82. Pet sales remain at just short of 60% of the total, the same as last year.



Online revenues increased 19.4% year on year but remain below our strategic targets. Specialist digital marketing resource has been brought in from Jul-24 to help us build the Lakes Collection brand and specifically target sales growth through our website and third-party marketplaces. Product fulfilment was relocated to our Progreen site in Peterborough in Feb-24 which has reduced some of the add-on costs.



Following the re-launch of our own brand product under the Lakes Collection in late 2023 we have not seen the planned for uplift in sales in store. Total own brand remains at just less than 28% of total sales in the year against a target of 35%, with pet feed at 33%. Additional merchandise improvements will be implemented as part of a store re-fit trial during 24/25 as well as taking on board new customer feedback on the clarity of the brand story. New branded products including treats, health supplements and cat food will also be added to the range and additional sales channels sought.

46.7% of sales were made on a customer loyalty card, up 2.3% on prior year. In late 2024 the loyalty program will link with our animal charitable giving program, with donations made based on points redeemed.

Our retail business needs a new EPOS system that will allow us to interrogate the loyalty card data and better understand our customer buying habits, as well as streamlining efficiency in store allowing our teams to spend as much time as possible with the customer. A new system is in the process of being selected and will be live by Jun-25. We implemented third party stock counting in 2023 and this has been successful in improving stock management processes.

Revenues for the combined **PROGREEN** and **A1 LAWN** business were up 7.3% on prior year despite a challenging season weather wise for gardeners and landscapers. Sales of weed control and moss algae were up 18.4% but grass seed was down 11% as the sowing season was curtailed by the rain. The business managed to absorb the additional costs of the new Peterborough warehouse and finished the year with the same profit as 22/23.

We recruited a new General Manager Barry Browne at the start of 2024. Barry brings extensive sector and product experience and will be undertaking a business development role alongside his leadership responsibilities. We will also be using Barry's experience and networks to extend our reach as a trusted advisor in a specialist sector. We will be recruiting a new management team including a commercial accountant, digital marketing expert and product buyer.



We are implementing a number of systems changes to facilitate our stock management and warehouse operations. Due to the intensely seasonal nature of the product, there have been a number of difficulties matching our pick and pack capability to demand and that will be a key focus for 24/25 to ensure that we do not let our customers down.

Our challenge is to find and develop additional products that are less weather dependent, as well as seeking new markets and uses for the products we already have. Understanding what our customers are using our products for, and therefore what else they might need, is a crucial part of both our online and offline sales strategy but has not been executed well to date.

The opportunity to sell training alongside the products has yet to be properly commercialised and represents a significant opportunity if we are able to get the model right.

Managing Director

Director

STRATEGIC REPORT

The Directors present their strategic report for the 52 weeks ended 31st May 2024. This explains how they have regard to wider stakeholder needs when performing their statutory duties under s172 of the Companies Act 2006.

STAKEHOLDERS

The primary stakeholders of WCF are its employee owners but the company balances the expectations of all principal stakeholders to achieve its overall strategic ambitions. The other principal stakeholders are the third-party shareholders, customers, suppliers, the local communities in which we operate and the members of the WCF Ltd Staff Retirement Benefit Scheme.

PRINCIPAL ACTIVITIES

The principal activities of WCF are niche retailing, leisure and fuel oil distribution, through a portfolio of brands which can be seen on the rear cover of the Annual Report. The company is structured into a series of decentralised business units, with day-to-day decision making delegated to the individual units. This empowers entrepreneurial leadership and allows employees to respond to the needs of customers flexibly and promptly, whilst engendering a sense of collective ownership and responsibility. The local teams are supported by a central pool of expertise, including marketing, finance, IT, H&S, HR, compliance and property.

A detailed review of operations is included in the Chair's Statement and Annual Summary.

BUSINESS REVIEW AND FUTURE DEVELOPMENTS

Profit after tax for the year as shown on page 20 amounted to £490,000 (2023: £2,451,000). Shareholders' funds as shown on page 22 total £36,013,000 (2023: £37,913,000).

A review of the business and future developments is included in the Chair's Statement and Annual Summary.

BUSINESS ENVIRONMENT

The bulk fuel oil distribution market is fragmented and supports a consolidation strategy designed to increase market share and customer retention. The proven depot operating model provides operational resilience, and we operate minimum depot sizes to restrict any disruption caused by a vehicle being off the road. The market is highly seasonal and will always be impacted by the weather, with a high proportion of bulk margin being generated from domestic heating oil. The industry body UKIFDA is working closely to respond to the impact of the government's Clean Air Strategy on liquid fuels and an increasing portion of fuel contains some bio element. Fluctuations in the price of crude oil are monitored daily and the impact of these passed on in our prices to our customers. Significant and sudden changes in the price of oil impact on our working capital as well as our customer credit limits. We continue to credit insure all large debts.

The retail businesses are to a large extent driven by wider consumer confidence and demand, impacted by inflationary pressures and rising interest rates. These are more susceptible to the wider economic and political climate as people reduce their discretionary purchases. However, the mature niche in which the Home Shopping business operates ensures a high market share in this sector, with high levels of customer retention.

WCF is predominately a UK business, however the implications on tariffs and exchange rate volatility, following Britain's exit from the European Union at the end of 2020, do ultimately impact on commodity and raw material input prices, even where these goods are manufactured in the UK. The Home Shopping business relies to a large extent on overseas suppliers and the implications of this are monitored when designing product ranges, dual sourcing wherever possible and hedging foreign currency exposure. There has not been any material change demand for goods and services as a direct result of Brexit.

STRATEGY

The company uses its financial strength, leadership support and employee ownership structure to develop its existing businesses. The objective of every employee owner is to hand the business over to future generations of employees in a stronger position than when they inherited it so that others can benefit from its continued existence and resilience.

Using its decentralised co-owned structure, the company aims to create a workplace where every employee matters and has a unique opportunity to make a difference to its performance with meaningful, interesting and diverse roles. By generating higher levels of employee engagement than its competitors, the company can create responsible and sustainable long-term value for its shareholders, whilst sharing the benefits of co-owned success with all its colleagues.

The company's mix of diversified income streams is designed to minimise risk by having a broad spread of activities and locations. This limits the impact of adverse performance in any single business. The company's results continue to be driven by its Home Shopping and bulk fuel oil distribution businesses on account of their size. The company has a long track record of organic and acquisitive growth and a focused acquisition strategy. Each business unit has their own strategic plan focused around the key areas of customer intimacy, financial performance, people and culture, continuous improvement and environmental/H&S.

To grow market share and profitability the company seeks to increase customer retention and referral, extend its share of a customer's total spend by increasing both frequency and average order value, find new customers, develop new products, engage its people in meaningful, diverse and interesting roles finding new ways to work to improve performance, efficiency, and productivity.

KEY PERFORMANCE INDICATORS (KPI'S)

Each individual business has a unique set of measures that are used to evaluate performance and communicate strategic and financial progress to their employee owners and to the Board. These measures are monitored monthly against benchmarks, prior year actuals and current year targets and revised annually as part of the annual budgeting process.

Financial measures include turnover, volumes, occupancy, gross or bulk margin, operating profit, stock turn, average transaction values, customer acquisition and retention.

Targets include % of own brand, 5-star customer reviews, cost per acquisition, catalogue response rates, on time despatch, supplier performance, lost sales, cross-selling, miles per drop, transport costs per litre and number of deliveries. Internet performance is measured via advertising cost of sale, visitor numbers and conversion rates. H&S performance is monitored closely, with all accidents, incidents and near misses recorded and investigated, no matter how minor. Employee engagement is measured using voluntary staff turnover, net promoter scores and participation in employee surveys.

PRINCIPAL RISKS AND UNCERTAINTIES

The company's diverse operations expose it to a number of risks. The Board is responsible for risk management and monitors the key risks to identify, evaluate and prioritise, as well as ensuring that suitable processes are in place to avoid, control or mitigate where possible.

The principal risks and uncertainties affecting the group include the following:

- **Cyber security event resulting in operational disruption or a breach of confidential or sensitive data** - the company recognises the threat of cyber fraud and has measures in place to protect its systems and information from attack, which could inhibit our ability to operate effectively including the use of a third-party Virtual Security Officer. Our networked IT systems are centralised, allowing all our individual businesses to benefit from control measures to protect us from business interruption and provide disaster recovery should we be the target of a cyber threat. The company has close relationships and outsourced support agreements with key software, hardware and network vendors and have expanded their IT department.

- **Breach of regulation or occurrence of a major health, safety or environmental incident** – the company has an ongoing process for ensuring that its vehicles, depots and processes are compliant with current and forthcoming legislation and regulation and uses both internal and external audit mechanisms to verify that these are acting as intended. Both directly and via its membership of associated trade bodies, the company strives to incorporate best practice into its processes and employs appropriately qualified and experienced personnel responsible for compliance.
- **Supply chain disruption** – the majority of purchases are made from long standing supply partners and are dual sourced wherever possible to maintain continuity of supply. Lengthening lead times mean that a lot of product is bought in bulk in advance, whilst optimising our stock levels. Our fuels businesses have the ability to store a small amount of stock and switch to alternative supply sources. In retail, where disruption to supply did arise, we would try to switch customers to alternative products or de-list products if required.
- **Failure to grow market share and seize new opportunities, as well as realising the benefits of strategic acquisitions** – the company is engaged in ongoing reviews of competitor activity, as well as evaluation of business development and acquisition opportunities. Detailed strategic business and marketing plans are in place. Digital and offline marketing programs promote referral and customer retention, as well as winning new customers and markets. Extensive use of customer data is made to understand their patterns, trends and behaviours and influence strategic decision making. The centralisation of our marketing team means that all businesses have access to the expert levels of advice and decision making.
- **Insufficient bandwidth of key people and failure to attract the right people to our roles** – succession planning and the continued development of key employees is a key part of the strategic planning process to attract, retain and motivate the right people. Significant efforts have been made to raise the profile of our employer brand. Employee surveys are utilised to monitor engagement. We are committed to promoting the benefits of employee ownership to ensure that this remains a point of difference for those who choose to work with us.
- **Over-reliance on specific income streams**– we have a diversified income stream, with diversified customer bases within each business. There are no major customer contracts in place that would materially impact on revenues. Whilst the business has traditionally been seasonally weighted towards Winter, this is being addressed by the expansion into Leisure and the acquisition of Progreen and A1 Lawn. However, demand for bulk fuel oil is impacted by the weather and the severity of Winter drives demand for domestic heating oil. This creates a risk of volatility in earnings, which we seek to mitigate by providing a range of fuel oils to different markets and customers. Through the company we operate a mix of sales channels. Whilst our customers are inevitably migrating on-line the pace of change is slow.
- **Unexpected financial expenditure and credit risk** – the company's decentralised structure relies on a high level of devolved authority. Payment risk is mitigated by having dual payment authorisation. Credit checks are performed on all commercial customers and assigned credit limits are closely monitored, with attention being given to oil prices and the wider economic climate. Credit insurance is maintained on higher level accounts and rigorous credit control processes are in place especially in Fuels. In our B2C businesses, payments are made in advance by credit or debit card.
- **Inability to meet pension scheme obligations**– the defined benefit pension scheme is closed to both new members and to future accrual. Liabilities of retirees are currently bought out with an insurance company. The company works closely with the Independent Trustee to monitor and review investment policy and funding requirements and to identify opportunities to mitigate risk.

By order of the board
P.A. Murray, Company Secretary
12 September 2024

DIRECTORS' REPORT

The Directors present their annual report and audited financial statements for the 52 weeks ended 31 May 2024.

DIVIDENDS

The directors authorised an ordinary dividend in respect of the current financial year of 20p per share (2023: 30p) totalling £755,000 (2023: £1,132,000). This has not been included within creditors as it was not approved by the directors before the year end.

DIRECTORS AND OFFICERS

The directors and officers who held office during the year were as follows:

P.A. Murray (Company Secretary)	D.A. Routledge (resigned 12.01.24)
P.J. Murray	M.S. Ward
J.L. Ritzema	D. Sowards (appointed 01.11.23)

Under the Companies Act 2006 there is no requirement for the directors of a private company to retire by rotation.

At no time during the year did any director have a material interest in a contract with the company other than as a customer in the normal course of business; these contracts were not significant in relation to the company's activities. No directors benefited from qualifying third party indemnity provisions.

COMMITMENT TO SECTION 172 AND OTHER STAKEHOLDER ENGAGEMENT

Section 172 of the Companies Act 2006 states that the directors must act in the way they consider, in good faith, would most likely promote the success of the company for the benefit of its members, taking into account the long-term consequences of their decisions on the interests of all stakeholders, including employees, as well as the need to act fairly between the stakeholders. The company recognises the need to foster strong business partnerships with its key suppliers and customers and consider the impact of its operations on the community and environment. Our employees are our most important asset.

Our customers are always at the heart of our decision making and we are passionate about delivering quality of product and service. We seek feedback regularly through surveys, review sites, account management and direct conversation and use any constructive feedback to ensure we improve what we do.

Our suppliers are crucial and we work with a small number of key supply partners on a mutually beneficial basis. We have policies around anti-bribery and corruption and comply with the Modern Slavery Act 2015 and are contributing members of relevant trade and industry bodies.

We support and encourage sustainable practices and are mindful of the impact of what we do on the environment, as well as investing in technology to improve the efficiency of our transport planning operations. We have a continued program of depot improvement and planned maintenance.

We publish our gender pay gap annually, recognising that there are significant difference in roles between our various diversified businesses. We work closely within the rural communities in which our operations are located.

We are confident that our business decisions are made with the intention of doing the right thing for our key stakeholders and are committed to the highest standards of professional and business conduct.

EMPLOYMENT

Under the leadership of individual General Managers, the company operates a decentralised structure, giving employees the autonomy and responsibility they need to make the day to day decisions required to deliver exceptional customer service.

The company tries to consider employee views as much as possible through the use of suggestion and nomination schemes, surveys, forums, one to ones, toolbox talks and focus groups to ensure there is adequate consultation and communication on matters that are likely to affect their interests. Along with our risk assessments and safe systems of work, these are also used to ensure the health, safety and welfare at work of all our employees, customers, contractors and visitors.

Our Guiding Principles form the cultural contract between the company and its employees in respect of the values and the behaviours we expect from all our staff. These are reinforced in our communications, training, personnel policies and behavioral job descriptions.

The company is strongly committed to employee share ownership and operates Save as You Earn, Partnership Share and Profit Share Schemes for all employees. All employees benefit from an annual employee ownership dividend allowing them to share in our financial success.

WCF operates an equal opportunities employment policy and is opposed to all forms of discrimination. Our selection processes always seek to give full and fair consideration to all applicants taking into account their aptitude, skills and experience. The company ensures that the training, career development and promotion of its employees is not discriminatory in any way. In the event of employees becoming disabled, every effort is made to ensure their employment continues and appropriate training arranged.



FUTURE DEVELOPMENTS

An indication of future developments is included in the Chair's Statement & Business Review.

STRATEGIC REPORT

The information required by schedule 7 of the large and medium sized Companies and Groups (accounts and reports) Regulations 2008 has been included in the separate strategic report in accordance with section 414 c of the Companies Act 2006.

ENERGY AND EMISSIONS

UK energy use covers all our selling, administration, warehouse, retail, leisure and logistics activities. Associated greenhouse gases have been calculated using GHG Reporting Standard - Corporate Protocol. WCF is registered as compliant with the Energy Savings Opportunity Scheme (ESOS). The majority of our energy usage is diesel for the tankers used in our oil distribution business and electricity on our campsites. In the period covered by the report the company has undertaken a number of energy efficient actions by installing solar panels in several locations with more planned in the coming year.

	2024	2023
UK Energy Use kWh	12,676,472	13,384,818
Associated greenhouse gas emissions kg Co2e	3,121,082	3,294,622
Intensity Ratio Emissions per number of employees	8,481	8,739

We have calculated the carbon emissions and kWh figures using the UK Government's 2024 Conversion Factors for company reporting.

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RESPECT OF THE STRATEGIC REPORT, DIRECTORS' REPORT AND THE FINANCIAL STATEMENTS

The directors are responsible for preparing the Strategic Report, Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice) including FRS102, *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company and of the profit or loss of the group for that period.

In preparing the group financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed subject to any material departures disclosed and explained in the financial statements; and
- prepare the consolidated financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company and group's transactions and disclose with reasonable accuracy at any time the financial position of the company and the group and enable them to ensure that the financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and company and to prevent and detect fraud and other irregularities.

DISCLOSURE OF INFORMATION TO AUDITOR

The directors who held office at the date of approval of this directors' report confirm that, so far as each of them are aware, there is no information relevant to the audit of the company's consolidated financial statements for the 52 weeks ended 31 May 2024 of which the company's auditor is unaware; and each director has taken all the steps that they ought to have taken as a director to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information.

By order of the board
P.A. Murray, Company Secretary
12 September 2024

WCF Ltd
Registered number: 02263148

INDEPENDENT AUDITOR'S REPORT

to the members of WCF Ltd

OPINION

We have audited the financial statements of WCF Ltd. (the 'parent company') and its subsidiaries (the 'group') for the 52-week period ended 31 May 2024, which comprise the Consolidated Profit and Loss Account, Consolidated Statement of Comprehensive Income, Consolidated Balance Sheet, Balance Sheet, Consolidated Statement of Changes in Equity, Statement of Changes in Equity, Consolidated Statement of Cash Flows, and Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 31 May 2024 and of the group's profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor responsibilities for the audit of the financial statements section of our report. We are independent of the group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

CONCLUSIONS RELATING TO GOING CONCERN

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's ability to continue as a going concern for a period of at least twelve months from when the original financial statements were authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

OTHER INFORMATION

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

OPINION ON OTHER MATTER PRESCRIBED BY THE COMPANIES ACT 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION

In the light of our knowledge and understanding of the group parent company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

RESPONSIBILITIES OF DIRECTORS

As explained more fully in the Statement of Directors' Responsibilities set out on page 15, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group's and the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the parent company or to cease operations, or have no realistic alternative but to do so.

AUDITOR RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud and non-compliance with laws and regulations, we considered the following:

- the nature of the industry and sector, control environment and business performance including the design of the company's remuneration policies, key drivers for directors' remuneration, bonus levels and performance targets;
- results of our enquiries of management about their own identification and assessment of the risks of irregularities;
- any matters we identified having obtained and reviewed the company's documentation of their policies and procedures relating to:

- identifying, evaluating and complying with laws and regulations and whether they were aware of any instances of non-compliance;
- detecting and responding to the risks of fraud and whether they have knowledge of any actual, suspected or alleged fraud;
- the internal controls established to mitigate risks of fraud or non-compliance with laws and regulations;
- the matters discussed among the audit engagement team and involving relevant internal specialists, including tax and pensions regarding how and where fraud might occur in the financial statements and any potential indicators of fraud.

As a result of these procedures, we considered the opportunities and incentives that may exist within the organisation for fraud and identified the greatest potential for fraud to be in relation to management override which, in common with all audits under ISAs (UK), we are required to perform specific procedures to respond to this risk.

We also obtained an understanding of the legal and regulatory framework that the company operates in, focusing on provisions of those laws and regulations that had a direct effect on the determination of material amounts and disclosures in the financial statements. The key laws and regulations we considered in this context included the UK Companies Act, pensions legislation and tax legislation.

In addition, we considered provisions of other laws and regulations that do not have a direct effect on the financial statements but compliance with which may be fundamental to the company's ability to operate or to avoid a material penalty. The key laws and regulations we considered in this context related to the Health and Safety Act, Employment Law, Data Security, Environmental Standards and the Registered Dealers in Controlled Oil Regulations.

As a result of performing the above, in response to the risks identified, we did not identify any key audit matters related to the potential risk of fraud or non-compliance with laws and regulations.

In addition to the above, our procedures to respond to risks identified included the following:

- reviewing the financial statement disclosures and testing to supporting documentation to assess compliance with provisions of relevant laws and regulations described as having a direct effect on the financial statements;
- enquiring of management concerning actual and potential litigation and claims;
- performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud;
- reading minutes of meetings of those charged with governance, reviewing correspondence with HMRC; and
- in addressing the risk of fraud through management override of controls, testing the appropriateness of journal entries and other adjustments; assessing whether the judgements made in making accounting estimates are indicative of a potential bias; and evaluating the business rationale of any significant transactions that are unusual or outside the normal course of business.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members, and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

There are inherent limitations in our audit procedures described above. The more removed that laws and regulations are from financial transactions, the less likely it is that we would become aware of non-compliance. Auditing standards also limit the audit procedures required to identify non-compliance with laws and regulations to enquiry of the directors and other management and the inspection of regulatory and legal correspondence, if any.

Material misstatements that arise due to fraud can be harder to detect than those that arise from error as they may involve deliberate concealment or collusion.

A further description of our responsibilities is available on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

USE OF OUR REPORT

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Alison M Johnston (Senior Statutory Auditor)
For and on behalf of Dodd & Co Audit Limited, Statutory Auditor
FIFTEEN Rosehill
Montgomery Way
Rosehill Estate
CARLISLE
CA1 2RW

12 September 2024

CONSOLIDATED PROFIT & LOSS ACCOUNT

For the 52 weeks ended 31 May 2024

	NOTE	2024 £'000	2023 £'000
Turnover		251,303	278,554
Cost of sales		(221,255)	(249,834)
Gross profit		30,048	28,720
Other operating expenses/income			
Other operating expenses	2	(27,288)	(24,544)
Other operating income	5	118	5
Other operating expenses before amortisation		(27,170)	(24,539)
Amortisation	10	(1,617)	(1,111)
Other operating expenses after amortisation		(28,787)	(25,650)
Operating profit	4	1,261	3,070
Interest receivable and similar income	6	330	201
Revaluation of fixed asset investments	12	(45)	(106)
Interest payable and similar expenses	3	(311)	-
Profit on ordinary activities before profit share		1,235	3,165
Employee profit share	7	105	203
Profit before taxation		1,340	3,368
Taxation	8	(850)	(917)
Profit for the financial period		490	2,451

Of the profit for the financial year ending 31 May 2024, £602k profit related to continuing operations and a £112k loss related to discontinued operations.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the 52 weeks ended 31 May 2024

	NOTE	2024 £'000	2023 £'000
Profit for the period		490	2,451
Other Comprehensive Income/(Expense)			
Actuarial (loss)/gain recognised on retirement benefits	22	(646)	(666)
Deferred tax on actuarial (loss)/gain	20	162	167
Other Comprehensive Income/(Expense) for the period, net of income tax		(484)	(499)
Total Comprehensive Income for the financial period		6	1,952

The notes on pages 26 to 48 form an integral part of these accounts.

BALANCE SHEETS

At 31st May 2024

ASSETS EMPLOYED

Fixed assets

		Group		Company	
		2024 £'000	2023 £'000	2024 £'000	2023 £'000
Intangible assets	10	7,078	3,645	2,530	3,642
Tangible assets	11	14,645	15,257	14,499	15,257
Investments	12	-	1,703	-	1,703
Investment property	13	1,005	1,005	1,005	1,005
Investment in subsidiaries	21	-	-	6,531	2

Current assets

Stocks	15	7,633	6,691	6,593	6,691
Debtors	16	18,497	18,012	18,111	18,012
Cash at bank and in hand		9,992	10,696	8,750	10,696

Creditors:

Amounts falling due within 1 year	17	(21,039)	(18,103)	(19,888)	(18,108)
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Net current assets		15,083	17,296	13,566	17,291
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Total assets less current liabilities

		37,811	38,906	38,131	38,900
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Creditors:

Amounts falling due after more than 1 year	17	(774)	(10)	(774)	(10)
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Provisions for liabilities

Deferred tax provision	20	(1,024)	(1,068)	(993)	(1,068)
Net retirement benefits asset/(liability)	22	-	85	-	85

Net assets

Capital and reserves

Called up share capital	19	3,773	3,773	3,773	3,773
Capital redemption reserve		4,446	4,446	4,446	4,446
Fair value reserve		508	508	508	508
Investment in own shares		(3,432)	(2,635)	(3,432)	(2,635)
Retained earnings		30,718	31,821	31,069	31,815

Shareholders' funds		36,013	37,913	36,364	37,907
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No profit and loss account is presented for the company as permitted by Section 408 of the Companies Act 2006. The company made a profit after tax for the financial period of £847,000 (2023 - profit of £3,032,000).

The financial statements on pages 20 to 48 were approved by the Board of Directors on 12 September 2024 and were signed on its behalf by:

J L Ritzema, Managing Director

M S Ward, Senior Independent Director

Registered Number 02263148

The notes on pages 26 to 48 form an integral part of these accounts.

STATEMENTS OF CHANGES IN EQUITY

For the 52 weeks ended 31 May 2024

	Called up share capital £'000	Retained earnings £'000	Capital redemption reserve £'000	Investment in own shares £'000	Fair value reserve £'000	Total equity £'000
Group						
Balance at 29 May 2022	3,773	32,932	4,446	(2,872)	508	38,787
Changes in equity						
Total comprehensive income	-	1,952	-	-	-	1,952
Other gains and losses on shares	-	8	-	-	-	8
Proceeds from sale of forfeited shares relating to prior periods		(146)	-	-	-	(146)
Share appropriation under provision	-	10	-	-	-	10
Reversal of prior year share appropriation	-	(500)	-	-	-	(500)
Dividend paid to external shareholders	-	(2,435)	-	-	-	(2,435)
Movement in investment in own shares during the year	-	-	-	237	-	237
Balance at 27 May 2023	3,773	31,821	4,446	(2,635)	508	37,913
Group						
Changes in equity						
Total comprehensive income	-	6	-	-	-	6
Other gains and losses on shares	-	(127)	-	-	-	(127)
Dividend paid to external shareholders	-	(982)	-	-	-	(982)
Movement in investment in own shares during the year	-	-	-	(797)	-	(797)
Balance at 31 May 2024	3,773	30,718	4,446	(3,432)	508	36,013

STATEMENTS OF CHANGES IN EQUITY (continued)

For the 52 weeks ended 31 May 2024

	Called up share capital £'000	Retained earnings £'000	Capital redemption reserve £'000	Investment in own shares £'000	Fair value reserve £'000	Total equity £'000
Company						
Balance at 29 May 2022	3,773	32,985	4,446	(2,872)	508	38,840
Changes in equity						
Total comprehensive income	-	2,503	-	-	-	2,503
Other gains and losses on shares	-	8	-	-	-	8
Proceeds from sale of forfeited shares relating to prior periods		(146)	-	-	-	(146)
Share appropriation under provision	-	10	-	-	-	10
Reversal of prior year share appropriation	-	(500)	-	-	-	(500)
Dividend paid to external shareholders	-	(2,435)	-	-	-	(2,435)
Movement in investment in own share during the year	-	-	-	237	-	237
Goodwill accumulated amortisation on hive up	-	(610)	-	-	-	(610)
Balance at 27 May 2023	3,773	31,815	4,446	(2,635)	508	37,907
Company						
Changes in equity						
Total comprehensive income	-	363	-	-	-	363
Other gains and losses on shares	-	(127)	-	-	-	(127)
Dividend paid to external shareholders	-	(982)	-	-	-	(982)
Movement in investment in own share during the year	-	-	-	(797)	-	(797)
Balance at 31 May 2024	3,773	31,069	4,446	(3,432)	508	36,364

CONSOLIDATED STATEMENT OF CASH FLOWS

For the 52 weeks ended 31 May 2024

	NOTE	2024 £'000	2023 £'000
Cash flows from operating activities			
Profit for the year		490	2,451
Adjustments for:			
Depreciation and amortisation charges		3,207	2,676
Profit on disposal of fixed assets		15	(262)
Finance costs		311	-
Revaluation of fixed asset investments		45	106
Interest receivable and similar income		(330)	(201)
Movement in retirement benefit asset		(779)	(840)
Employee Profit Share		(105)	(203)
Taxation		850	917
		3,704	4,644
(Increase)/decrease in stocks		(942)	2,601
(Increase)/decrease in trade and other debtors		(485)	4,163
Increase/(decrease) in trade and other creditors		1,252	(7,621)
		3,529	3,787
Tax paid		(323)	(868)
Net cash from operating activities		3,206	2,919
Cash flows from investing activities			
Purchase of tangible fixed assets		(1,004)	(2,108)
Purchase of intangible assets		-	(23)
Sale of tangible fixed assets		160	520
Interest received		330	190
Acquisition of investments		-	(37)
Business combination		(4,944)	(240)
Proceeds from disposal of investments		1,658	2,000
Net cash from investing activities		(3,800)	302
Cash flows from financing activities			
Movement of own shares		(924)	99
Equity dividends paid		(982)	(2,435)
Employee profit share paid		-	(500)
Proceeds from sale of forfeited shares		105	213
Hire purchase repayments		(2)	(4)
Proceeds from bank borrowing		3,000	-
Repayment of bank borrowing		(1,214)	-
Interest paid		(93)	-
Net cash from financing activities		(110)	(2,627)
Net decrease in cash and cash equivalents		(704)	594
Cash and cash equivalents at beginning of period	26	10,696	10,102
Cash and cash equivalents at end of period	26	9,992	10,696

The notes on pages 26 to 48 form an integral part of these accounts.

NOTES TO THE FINANCIAL STATEMENTS

1. ACCOUNTING POLICIES

WCF Limited is a company limited by shares and incorporated and domiciled in England. The registered office is Crawhall, Brampton, Cumbria CA8 1TN.

Period of accounting The financial statements have been prepared for the 52 week period ended 31 May 2024 and any references to the 'year' or 'period' in these accounts relate to this financial year.

Basis of accounting The financial statements have been prepared on a going concern basis in accordance with Financial Reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Ireland" and the Companies Act 2006 including the provisions of the large and medium sized companies and groups (Accounts and Reports Regulations) 2008. The financial statements have been prepared under the historical cost convention as modified by the revaluation of certain assets in the current and prior periods, as set out below.

Reduced disclosures This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements.

- Section 4 'Statement of Financial Position' - Reconciliation of the opening and closing number of shares;
- Section 7 'Statement of Cash Flows' - Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' & Section 12 'Other Financial Instrument Issues' - Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument, basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment' - Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements.
- Section 33 'Related Party Disclosure' - Compensation for key management personnel.

Currency The financial statements have been prepared in UK sterling in round thousands.

Basis of consolidation The consolidated financial statements consolidate the financial statements of the company and its subsidiary undertakings drawn up to 31 May 2024. A subsidiary is an entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the period are included in the Profit and Loss Account from the effective date of acquisition or up to the effective date of disposal, as appropriate. Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by the group.

The purchase method of accounting is used to account for business combinations that result in the acquisition of subsidiaries by the group. The cost of a business combination is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the business combination. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. Any excess of the cost of the business combination over the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised is recorded as goodwill.

1. ACCOUNTING POLICIES (continued)

Inter-company transactions, balances and unrealised gains on transactions between the company and its subsidiaries, which are related parties, are eliminated in full. Intra-group losses are also eliminated but may indicate an impairment that requires recognition in the consolidated financial statements.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group.

Turnover Turnover represents the amount receivable by the company in the ordinary course of business, net of value added tax, for goods and services supplied outside the company. Turnover is recognised on delivery of the goods or service.

No separate analysis of turnover has been provided in the notes to the financial statements, as in the opinion of the directors, to do so would be commercially prejudicial to the interests of the company.

Tangible fixed assets and depreciation Fixed assets are stated at cost, less accumulated depreciation and subsequent accumulated impairment losses. Depreciation is charged using either straight line basis or reducing balance method over the estimated useful economic life of the assets. No depreciation is charged on freehold land.

The following rates are applied by the company and group and are consistent with the prior financial year.

	Depreciation rates
Freehold buildings	2 - 5%
Leasehold buildings	Over length of lease
Plant and machinery	5 - 50%
Vehicles	20 - 50%

The gain or loss arising on the disposal of a fixed asset is determined as the difference between the net sale proceeds and the carrying amount of the asset. Where significant property or land disposals are made, these are not considered to constitute normal operating conditions and therefore disclosed below operating profit.

Government grants Grants relating to revenue are recognised in the profit and loss account on a systematic basis over the periods in which the related costs are recognised for which the grant is intended to compensate. Grants for the purpose of giving immediate financial support with no future related costs to be incurred are recognised in the profit and loss account when the grant proceeds become receivable.

Investment property Investment properties are properties held by the company to earn rentals and/or for capital appreciation. Investment properties are initially measured at cost, including transaction costs. Subsequently investment properties are measured at fair value by the directors with reference to corroborative market valuations. Investment property valuations are based on a fair value. Deferred tax is provided on these movements. Gains and losses arising from changes in the fair value of investment properties are included in the profit and loss account in the period in which they arise.

Cash and cash equivalents These are assets that are readily convertible into cash and includes current bank accounts, fixed term deposits and savings accounts, petty cash and currency.

Lessor accounting Assets held and leased to third parties are capitalised within tangible fixed assets and depreciated in accordance with the above policy. Lease rental receipts are credited to the profit and loss account in the period to which they relate.

1. ACCOUNTING POLICIES (continued)

Operating lease Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increases are recognised as incurred. Lease incentives received are recognised in profit and loss over the term of the lease as an integral part of the total lease expense. Premiums payable, rent free periods and capital contributions receivable on entering an operating lease are released on a straight line basis over the lease term or first break if applicable.

Finance lease Minimum lease payments are apportioned between the finance charge and the reduction of the outstanding liability using the rate implicit in the lease. The finance charge is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent rents are charged as expenses in the periods in which they are incurred.

Intangible assets Separately acquired trademarks and licences (including software) are shown at historical cost.

Trademarks, licences (including software) and customer-related intangible assets acquired in a business combination are recognised at fair value at the acquisition date.

Trademarks, licences and customer-related intangible assets have a finite useful life and are carried at cost less accumulated amortisation and any accumulated impairment losses.

Amortisation Amortisation is provided on intangible assets so as to write off the cost, less any estimated residual value, over their useful life as follows:

Asset class	Amortisation method and rate
Software and website development	3 and 5 years straight line basis

Goodwill Purchased and acquisition goodwill is amortised on a straight line basis over 5 years. Any impairment is recognised immediately.

Stocks The basis of valuation of stocks is the lower of cost to the company and estimated net realisable value after considering any impairment losses.

Taxation The charge for corporation tax is based on the results for the year adjusted for items which are not taxed or are disallowed. It is calculated using tax rates in legislation that has been enacted or substantively enacted by the balance sheet date.

Deferred tax has been recognised as an asset or liability if transactions have occurred at the balance sheet date that give rise to an obligation to pay more tax in the future, or a right to pay less tax in the future. An asset is not recognised to the extent that the transfer in economic benefits in the future is uncertain. Deferred tax assets and liabilities recognised have not been discounted. Deferred tax is fully provided in respect of timing differences to the extent that it is probable a liability will arise or an asset will be recoverable in the foreseeable future.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled.

Fixed asset investments Equity investments are recognised initially at cost which is normally the transaction price (but excludes any transaction costs, where the investment is subsequently measured at fair value through the profit and loss). Subsequently they are measured at fair value through profit or loss except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably which are recognised at cost less impairment until a reliable measure of fair value becomes available.

1. ACCOUNTING POLICIES (continued)

Investments in subsidiaries Investments in subsidiaries are measured at cost less impairment.

Trade debtors Trade debtors are initially recognised at transaction price and subsequently measured at amortised cost less allowances for situations where recovery is doubtful. Such allowances are based on an individual assessment of each allowance.

Trade creditors Trade creditors are initially recognised at transaction price and subsequently measured at amortised cost.

Employee Benefit Trust: The company is a sponsoring entity of WCF EBT in accordance with section 9, FRS102. The assets and liabilities of the EBT are recognised as an extension of WCF Ltd and are included in these financial statements. Appropriations are not disclosed within operating profit, as the directors consider the presentation adopted more accurately reflects the nature of the charge.

Foreign currencies Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

Pensions For the company's defined benefit scheme the amounts charged to operating profit are the gains and losses on ordinary settlements and curtailments. They are included as part of staff costs. Past service costs are recognised immediately in the profit and loss account to the extent that the benefits are already vested, otherwise the costs are recognised over the period until vesting occurs. The interest cost and the expected return on assets are shown as a net amount of other charges or income adjacent to interest payable in the profit and loss account. Actuarial gains and losses are recognised immediately in the statement of other comprehensive income.

The assets of the scheme are held separately from those of the company in a separate trustee administered fund.

The assets of the pension scheme are measured at fair value and liabilities are measured on an actuarial basis using the projected unit method and discounted at a rate equivalent to the current rate of return on a high quality corporate bond of equivalent currency and term to the scheme liabilities. The actuarial valuations are obtained at least triennially and are updated at each balance sheet date. The resulting defined benefit asset or liability excluding the related deferred tax, is presented separately after other net assets on the face of the balance sheet.

Employer contributions made to the company's stakeholder and other defined contribution schemes are charged as an expense in the period to which they relate.

Share Based Payments Share-based payments relate to Save As You Earn options issued to employees which vest over 3 or 5 years and the company's annual employee profit share plan.

The fair value of employee share option plans is calculated at the grant date using the Black-Scholes model and the resulting cost charged to the profit and loss account over the vesting period, adjusted to reflect the company's estimate of shares that will eventually vest. The fair value of the employee profit share plan is calculated using the market value of the shares at the date of the award. The resulting cost is charged to the profit and loss account in the year in which the profit share is earned, if material.

Going Concern Policy The directors, having considered the current trading prospects, identifiable risks, working capital requirements and the level of cash held, are of the opinion that the company and group is a going concern having prepared forecasts for a period of at least 12 months from the date of signature of these financial statements. The accounts have been prepared on this basis.

1. ACCOUNTING POLICIES (continued)

Key judgements and sources of estimation uncertainty: The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities as at the balance sheet date and the amounts reported for revenues and expenses during the year. However, the nature of estimation means that actual outcomes could differ from those estimates. The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements: Pension Assumptions for details of the assumptions made please refer to note 22 Pension Commitments. The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows:

Share based payment charge The fair value of the share options has been estimated by the directors using the Black Scholes option pricing model. The directors were required to decide on a number of key inputs used in this model, as disclosed in note 24.

2. OTHER OPERATING EXPENSES

	2024 £'000	2023 £'000
Distribution costs	17,206	15,907
Administration costs	10,082	8,637
Other operating expenses	27,288	24,544

3. INTEREST PAYABLE AND SIMILAR CHARGES

	2024 £'000	2023 £'000
Interest on bank overdraft and borrowing	93	-
Net interest on the defined benefit pension liability	218	-
	311	-

4. EXPENSES AND AUDITOR'S REMUNERATION

	2024 £'000	2023 £'000
Included in operating profit are the following:		
(Loss)/profit on sale of tangible fixed assets	(15)	262
Rents receivable	175	179
Income from fixed asset investments	20	27
Foreign exchange gains	43	-
And after charging:		
Depreciation of tangible fixed assets	1,590	1,565
Amortisation of intangible assets	1,617	1,111
Auditor's remuneration:		
Audit of these financial statements	53	50
Other fees of auditors		
Tax compliance services	4	-
All other non-audit services	6	-

5. OTHER INCOME

Included in other income within the profit and loss account are government grants receivable in relation to apprenticeship schemes. The amount of grants recognised in the financial statements was £nil (2023: £5,000).

Other income includes refunds received on operating leases under the Truck Cartel case of £118,000 (2023: £nil)

6. OTHER INTEREST RECEIVABLE AND SIMILAR INCOME

	2024 £'000	2023 £'000
Other finance income	330	190
Pension related income	-	11
	330	201

7. DIRECTORS AND EMPLOYEES

The average number of employees including executive directors during the year is split as follows:

	2024	2023
Administration	162	165
Operational	206	212
	368	377

Transactions with key management personnel

Total compensation of key management personnel (including the directors) in the year amounted to £1,618k (2023: £1,956k).

	2024 £'000	2023 £'000
Employee costs:		
Wages and salaries (including redundancy)	10,500	10,305
Social security	1,017	1,025
Pension contribution	663	613
	12,180	11,943

7. DIRECTORS AND EMPLOYEES (continued)

	2024 £'000	2023 £'000
Directors' remuneration:		
Fees	37	50
Emoluments (excluding pension contributions)	330	435
Benefits in kind	23	24
Pension contributions	65	44
	<u>455</u>	<u>553</u>

	2024	2023
Directors to whom retirement benefits were accruing was as follows:		
Money purchase schemes	2	2
The number of directors who exercised share options was	<u>2</u>	<u>-</u>

	2024 £'000	2023 £'000
Highest paid Director:		
Emoluments	180	221
Pension contributions	52	30
Benefits in kind	15	16
Aggregate emoluments	<u>247</u>	<u>267</u>

The highest paid director exercised 1,875 share options during the year (2023: nil) at an option price of £4.80 per share (2023: nil per share).

All Employee Share Ownership Plan (AESOP)

The AESOP was established to enable employees to continue to share in the success of the company. Free shares are awarded to eligible employees in respect of a financial year if the company makes or exceeds its profit budget for that financial year. The profit budget was not achieved in the current financial year and consequently no provision has been made for the purchase of shares (2023: nil).

Included in the profit and loss account is a credit of £105,000 (2023: £213,000) relating to proceeds from the sale of forfeited shares under the AESOP.

8. TAXATION

	2024 £'000	£'000	2023 £'000	£'000
Total tax expense recognised in the profit & loss account and other comprehensive income				
Current tax				
Current tax on income for the period	727		404	
Adjustment for prior period	5		-	
Total current tax		732		404
Deferred tax				
Origination and reversal of timing differences	118		513	
Deferred tax loss/(gain) on actuarial gain/(loss) (recognised in other comprehensive income)	(162)		(167)	
Total deferred tax		(44)		346
Total tax		688		750

Reconciliation of effective tax rate

	2024 £'000	2023 £'000
Profit for the period	490	2,451
Total tax expense	850	917
Profit excluding taxation	1,340	3,368
Corporation tax at standard rate	335	674
Income not chargeable for tax purposes	(5)	(5)
Expenses not deductible for tax purposes	35	14
Other permanent differences	503	196
Market value adjustment in respect of exercised share options	(23)	(16)
Gains not taxable	-	(47)
Change in corporation tax rates	-	101
Increase in current tax from adjustment for prior period	5	-
Total tax expense included in profit & loss	850	917

9. DIVIDENDS

	2024 £'000	2023 £'000
Amounts recognised as distributions to equity holders in the year:	982	2,435

A dividend of 30.0 pence (2023: 73.0 pence) per ordinary share was authorised and paid during the year relating to the previous year's results. Of the dividends paid during the year, £nil (2023: £nil) was paid to the Employee Benefit Trust. The actual dividend paid is lower than proposed due to waiver of dividend on shares held by the Employee Benefit Trust at the declared dividend date.

The directors have authorised an ordinary dividend of 20 pence (2023: 30 pence) per share totalling £755,000 (2023: £1,132,000). This has not yet been included as a liability in these accounts. The authorised dividends will be paid by 1 November 2024 to shareholders who are on the register of members as at 12 September 2024.

10. INTANGIBLE FIXED ASSETS

Group

	Goodwill £'000	Software £'000	Total £'000
Cost			
At 28 May 2023	11,136	116	11,252
Acquired through business combinations	5,050	-	5,050
Disposals	(50)	-	(50)
At 31 May 2024	16,136	116	16,252
Amortisation			
At 28 May 2023	7,565	42	7,607
Amortisation charge	1,576	41	1,617
Amortisation eliminated on disposals	(50)	-	(50)
At 31 May 2024	9,091	83	9,174
Carrying amount			
At 31 May 2024	7,045	33	7,078
At 27 May 2023	3,571	74	3,645

Company

	Goodwill £'000	Software £'000	Total £'000
Cost			
At 28 May 2023	10,287	116	10,403
Disposals	(50)	-	(50)
At 31 May 2024	10,237	116	10,353
Amortisation			
At 28 May 2023	6,719	42	6,761
Amortisation charge	1,071	41	1,112
Amortisation eliminated on disposals	(50)	-	(50)
At 31 May 2024	7,740	83	7,823
Carrying amount			
At 31 May 2024	2,497	33	2,530
At 27 May 2023	3,568	74	3,642

Amortisation charge with respect to intangible assets is included within administrative expenses.

11. TANGIBLE FIXED ASSETS

Group	Land and Buildings £'000	Plant and Machinery £'000	Vehicles £'000	Total £'000
Cost:				
At 28 May 2023	13,963	9,125	1,778	24,866
Additions	421	537	47	1,005
Acquired through business combinations	35	113	-	148
Disposals	(134)	(383)	(376)	(893)
At 31 May 2024	14,285	9,392	1,449	25,126
Depreciation and Impairment:				
At 28 May 2023	3,379	5,535	695	9,609
Charge for year	487	824	278	1,590
Disposals	(134)	(382)	(201)	(717)
At 31 May 2024	3,732	5,977	772	10,481
Net book value:				
At 27 May 2023	10,584	3,590	1,083	15,257
At 31 May 2024	10,553	3,415	677	14,645

The net book value of land and buildings comprises:	2024 £'000	2023 £'000
Freehold	9,861	9,865
Long leasehold (over 50 years unexpired)	521	494
Short leasehold (less than 50 years)	171	225
	10,553	10,584

Assets held under finance leases and hire purchase contracts:
The net carrying amount of tangible assets includes the following amounts in respect of assets held under finance leases and hire purchase contracts.

	2024 £'000	2023 £'000
Vehicles	6	10

11. TANGIBLE FIXED ASSETS (continued)

Company	Land and Buildings £'000	Plant and Machinery £'000	Vehicles £'000	Total £'00
Cost:				
At 28 May 2023	13,963	9,074	1,772	24,809
Additions	418	518	47	983
Disposals	(134)	(383)	(376)	(893)
At 31 May 2024	14,247	9,209	1,443	24,899
Depreciation				
At 28 May 2023	3,379	5,484	689	9,552
Charge for year	483	804	278	1,565
Disposals	(134)	(383)	(201)	(717)
At 31 May 2024	3,728	5,906	766	10,400
Carrying amount:				
At 27 May 2023	10,584	3,590	1,083	15,257
At 31 May 2024	10,519	3,303	677	14,499

The net book value of land and buildings comprises:	2024 £'000	2023 £'000
Freehold	9,861	9,865
Long leasehold (over 50 years unexpired)	521	494
Short leasehold (less than 50 years)	137	225
	10,519	10,584

Assets held under finance leases and hire purchase contracts:
The net carrying amount of tangible assets includes the following amounts in respect of assets held under finance leases and hire purchase contracts.

	2024 £'000	2023 £'000
Vehicles	6	10

12. FIXED ASSET INVESTMENTS

Group and Company

Cost or Valuation

At 28 May 2023
Fair value adjustments
Disposals

Listed
Investments
£'000

1,703
(45)
(1,658)

At 31 May 2024

-

Net book value

At 31 May 2024

-

At 27 May 2023

1,703

If fixed asset investments had not been revalued they would have been included at the following historical cost:

	2024 £'000	2023 £'000
Cost	-	1,714

13. INVESTMENT PROPERTIES

Group and Company

Fair value

At 27 May 2023

1,005 1,005

At 31 May 2024

1,005 1,005

If the investment properties had not been revalued they would have been included at the following historical cost:

	2024 £'000	2023 £'000
Cost	497	497
Carrying value	383	402

The investment properties were valued to a fair value on 31 May 2024 by the Directors with reference to the original purchase price paid, independent valuations since the purchase date and current market yields. The properties were last independently valued at July 2017 by Walton Goodland on an open market value basis for current use in accordance with RICS Appraisal and Valuation Manual.

14. BUSINESS COMBINATIONS

On 5 December 2023, WCF Ltd acquired 100% of the issued share capital of Bella Di Notte Ltd (clothing retailer), obtaining control. Bella Di Notte Ltd contributed £4,416,000 revenue and £148,000 to the group's profit for the period between the date of acquisition and the Balance Sheet date. The amounts recognised in respect of the identifiable assets acquired and liabilities assumed are as set out in the table below:

	Book and fair value 2004 £'000
Assets and liabilities acquired	
Financial assets	1,212
Stocks	1,059
Tangible assets	148
Financial and other liabilities	(940)
Total identifiable assets	1,479
Goodwill	5,050
Total consideration	6,529
Satisfied by:	
Cash	6,529
Total consideration transferred	6,529

Goodwill is considered to have a useful economic life of 5 years.

15. STOCKS

	Group		Company	
	2024 £'000	2023 £'000	2024 £'000	2023 £'000
Raw materials and consumables	484	440	480	440
Finished goods	7,149	6,251	6,113	6,251
	7,633	6,691	6,593	6,691

16. DEBTORS

Amounts falling due within one year

Trade debtors

Other debtors

Prepayments and accrued income

Group		Company	
2024 £'000	2023 £'000	2024 £'000	2023 £'000
16,426	15,763	16,266	15,763
583	1,134	537	1,134
1,488	1,115	1,308	1,115
18,497	18,012	18,111	18,012

17. CREDITORS

Due within one year

Bank borrowings

Finance lease liabilities

Trade creditors

Corporation tax

Other taxation and social security

Accruals and deferred income

Amount owed to group undertakings

Group		Company	
2024 £'000	2023 £'000	2024 £'000	2023 £'000
1,019	-	1,019	-
3	2	3	2
15,323	14,662	14,810	14,662
883	219	720	219
1,340	526	967	526
2,471	2,694	2,367	2,697
-	-	2	2
21,039	18,103	19,888	18,108

Due after one year

Bank borrowings

Finance lease liabilities

767	-	767	-
7	10	7	10
774	10	774	10

Bank borrowings are secured by fixed and floating charges over the company's assets.

Finance lease liabilities are secured on the assets to which they relate.

18. LEASING AGREEMENTS AND FINANCIAL COMMITMENTS

Group

Finance Leases

Certain motor vehicles are held under finance lease arrangements. The lease agreements generally include fixed lease payments and a purchase option at the end of lease term.

The total of future minimum lease payments is as follows:

	2024 £'000	2023 £'000
Within one year	3	2
Between one year and five years	7	10
	10	12

The total future minimum repayments under non-cancellable operating leases are as follows:

	2024 £'000	2023 £'000
Non cancellable operating leases		
Within one year	2,010	2,008
Between one and five years	6,385	6,097
More than five years	5,261	4,989
	13,656	13,094

Operating leases are primarily in respect of commercial vehicles and the companies operating locations.

The amount of non-cancellable operating lease payments recognised as an expense during the period was £2,477,000 (2023: £2,317,000).

At the year end there were unsettled forward currency contracts amounting to £199,233 (2023: £90,174) in respect of hedging of currency risk in relation to the purchase of certain stock items. No asset or liability has been recognised as the directors do not believe the impact to be material to the financial statements.

Operating leases - lessor

The total of future minimum lease receivables is as follows:

	2024 £'000	2023 £'000
Within one year	116	165
Between one and five years	236	290
More than five years	23	83
	375	538

18. LEASING AGREEMENTS AND FINANCIAL COMMITMENTS

(continued)

Company

Finance leases

Certain motor vehicles are held under finance lease arrangements. The lease agreements generally include fixed lease payments and a purchase option at the end of the lease term.

The total of future minimum lease payments is as follows:

	2024 £'000	2023 £'000
Not later than one year	3	2
Later than one year and not later than five years	7	10
	10	12

Operating leases

The total of future minimum lease receivables is as follows:

	2024 £'000	2023 £'000
Not later than one year	1,999	2,008
Later than one year and not later than five years	6,045	6,097
Later than five years	5,261	4,989
	13,305	13,094

The amount of non-cancellable operating lease payments recognised as an expense during the period was £2,429,000 (2023: £2,317,000).

At the year end there were unsettled forward currency contracts amounting to £199,233 (2023: £90,174) in respect of hedging of currency risk in relation to the purchase of certain stock items. No asset or liability has been recognised as the directors do not believe the impact to be material to the financial statements.

19. CALLED UP SHARE CAPITAL

Allotted, called up and fully paid
3,773,352 ordinary shares of £1

2024 £'000	2023 £'000
3,773	3,773

All shares which rank equally carry no fixed right to income. At the end of the financial year, options for 178,033 shares (2023: 148,677) were held by employees under the company's save as you earn share option scheme.

20. DEFERRED TAX ASSETS AND LIABILITIES

Group

Movements in the period

	2024 £'000
Liability at 28 May 2023	1,068
Charge to profit or loss	118
Credited to other comprehensive income	(162)
Liability at 31 May 2024	1,024

The total deferred taxation at 25% (2023: 25%) is as follows:

Timing differences

	2024 £'000	2023 £'000
Accelerated capital allowances	1,068	1,101
Available losses	(352)	(350)
Capital gains rolled over	225	225
Investment property valuations	127	124
Deferred tax on retirement benefit asset/(liability)	-	22
Other	(44)	(54)
	1,024	1,068

The expected net reversal of deferred tax in the following year is £306,000. This excludes any movement pertaining to deferred tax on retirement benefit obligations as it is not possible to estimate the expected unwind.

20. DEFERRED TAX ASSETS AND LIABILITIES (continued)

Company

	2024 £'000
Movements in the period	
Asset at 28 May 2023	1,068
Charge to profit or loss	87
Charge to other comprehensive income	(162)
	993

The total deferred taxation at 25% (2023: 25%) is as follows:

	2024 £'000	2023 £'000
Timing differences		
Accelerated capital allowances	1,037	1,101
Available losses	(352)	(350)
Capital gains rolled over	225	225
Investment property valuations	127	124
Deferred tax on retirement benefit liability	-	22
Other	(44)	(54)
	993	1,068

The expected net reversal of deferred tax in the following year is £287,000. This excludes any movement pertaining to deferred tax on retirement benefit obligations as it is not possible to estimate the expected unwind.

21. INVESTMENTS IN SUBSIDIARIES

Company

	£'000
Subsidiaries	
Cost	
At 28 May 2023	1,257
Additions	6,529
At 31 May 2024	7,786
Provision	
At 28 May 2023	1,255
At 31 May 2024	1,255
Carrying amount	
At 31 May 2024	6,531
At 27 May 2023	2

21. INVESTMENTS IN SUBSIDIARIES (continued)

Company

Undertaking	Registered office	Holding	Proportion of voting rights and shares held	
			2024	2023
Subsidiary undertakings				
A1 Lawn Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	100%
Progreen Weed Control Solutions Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	100%
Longnor Wood Holiday Park Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	100%
Bella Di Notte Limited	Malton Enterprise Park 6 Cherry Farm Close (Unit 1) Malton, North Yorkshire YO16 6AD	Ordinary	100%	0%

For the period ending 31 May 2024 the subsidiaries A1 Lawn Limited, Progreen Weed Control Solutions Limited and Longnor Wood Holiday Park Limited were entitled to exemption from audit under section 480 of the Companies Act 2006 relating to dormant companies.

For the period ending 31 May 2024 the subsidiary Bella Di Notte was entitled to exemption from audit under section 479A of the Companies Act 2006 relating to subsidiary companies. WCF Ltd has guaranteed all outstanding liabilities of Bella Di Notte at 31 May 2024 until those liabilities are settled. Bella Di Notte has a coterminous period end with WCF Ltd and is included in the group consolidation.

22. PENSION COMMITMENTS

Group and Company

The company operates a defined benefit scheme in the UK, namely the WCF Ltd Staff Retirement Benefits Scheme ('the Scheme'). As the scheme closed to future accrual on 1 April 2016 no ordinary contributions were made in the year.

The major assumptions used by the independent, qualified actuary in producing this year's FRS 102 disclosures were:

	31/05/2024	27/05/2023
Discount rate	5.20%	5.25%
Inflation rate	3.00%	2.90%
Rate of increase in pensions in payment	2.95%	2.85%

22. PENSION COMMITMENTS (continued)

Group and Company

The date of the most recent comprehensive actuarial valuation was 1 April 2023 and was updated for FRS 102 purposes to 31 May 2024 by a qualified independent actuary. The company agreed to pay £833,333 per annum up to 31 March 2026 and £100,000 per annum to cover expected scheme expenses.

Under FRS 102 the expected return on assets has been set up for the current year to equal the discount rate of 5.20%, (2023: 5.25%) and does not reflect the expected return on the actual scheme assets.

The following table shows the life expectancies for example members each year, based on the assumed mortality tables for this year and last year.

<i>Life expectancy (years)</i>	31/05/2024	27/05/2023	
Current pensioner aged 65 (male)	21.0	21.0	
Current pensioner aged 65 (female)	24.0	24.0	
Future pensioner aged 65 (male)*	22.0	23.0	
Future pensioner aged 65 (female)*	25.0	26.0	*Currently aged 45.

As at 31 May 2024, all members were assumed to commute part of their pension in order to receive tax-free cash in line with the post 'A-Day' maximum.

The amounts recognised in the balance sheet are as follows:

	2024 £'000	2023 £'000
Funded defined benefit obligation	(8,348)	(10,255)
Fair value of plan assets	9,675	10,340
	1,327	85
Other amounts not recognised in the balance sheet	(1,327)	-
Defined benefit pension scheme surplus	-	85

In accordance with paragraph 28.22 of FRS 102 the plan surplus on the defined benefit pension scheme is not expected to be recoverable by way of unconditional rights to refunds or through reductions in future contributions. As such the surplus has not been recognised at 31 May 2024.

The amounts recognised in the profit and loss account are as follows:

	2024 £'000	2023 £'000
Administration expenses	154	93
Interest cost	536	429
Expected return on plan assets	(560)	(440)
Losses on settlements	242	-
Profit and loss charge	372	82

22. PENSION COMMITMENTS (continued)

Changes in the present value of the defined benefit obligation are as follows:

	2024 £'000	2023 £'000
Defined benefit obligation at start of year	10,255	12,660
Interest cost	536	429
Actuarial (gains)/losses	(688)	(2,399)
Benefits and expenses paid	(129)	(435)
Liabilities extinguished on settlements	(1,626)	-
Defined benefit obligation at end of year	8,348	10,255

Changes in the fair value of plan assets are as follows:

	2024 £'000	2023 £'000
Plan assets at start of year	10,340	12,560
Employer contributions - administration contribution	100	100
Employer contributions - actuarial deficit funding	833	833
Expected return on assets	560	440
Actuarial (losses) on plan assets	(7)	(3,065)
Benefits and expenses paid	(283)	(528)
Assets distributed on settlements	(1,868)	-
Plan assets at end of year	9,675	10,340
Actual return on assets	553	(2,625)

The major categories of plan assets as a percentage of total plan assets are as follows:

Proportion of total assets	2024	2023
Cash	14.5%	37.2%
LDI	-	62.8%
Corporate Bonds	52.1%	-
Index-linked gifts	33.4%	-

The amounts recognised in the statement of other comprehensive income are as follows:

	2024 £'000	2023 £'000
Actuarial (losses)	(646)	(666)
Total expense recognised in statement of other comprehensive income	(646)	(666)

23. ULTIMATE CONTROLLING PARTY

The company is owned by a large number of shareholders and as such there is no single ultimate controlling party.

24. SHARE-BASED PAYMENTS

Group and Company

The group has calculated the charge on share-based payments in relation to Save As You Earn (SAYE) options granted after 7 November 2002. Neither the charge nor the adjustment to opening reserves are deemed to be material in relation to the accounts and accordingly no adjustment has been made.

The company had one SAYE equity-settled option scheme in operation during the year with a grant date following 7 November 2002. This permits the grant of options to employees in respect of ordinary shares linked to a SAYE contract for a term of three or five years, with contributions from employees of an amount between £5 and £500 per month. Options are capable of being exercised at the end of the option period at a subscription price of 80% of the market value of the shares at the time of the offer.

At 31 May 2024 there were 178,033 options outstanding.

The number and weighted average exercise prices of share options are as follows:

	Weighted average exercise price 2024	Number of options 2024	Weighted average exercise price 2023	Number of options 2023
Outstanding at the beginning of the period	4.87	148,677	4.86	214,193
Forfeited during the period	4.89	(20,466)	4.89	(26,785)
Exercised during the period	4.73	(40,059)	4.78	(38,731)
Granted during the period	5.48	89,881	-	-
Outstanding at the end of the period	5.19	178,033	4.87	148,677
Exercisable at the end of the period	5.19	178,033	4.87	148,677

The fair value of the share options at the date of grant was estimated using the Black-Scholes option pricing model. The following table gives the assumptions applied:

Expected dividend yield	6.8%	Expected life of option	3 or 5 years
Expected volatility	20% - 43%	Underlying share price	600, 625 or 685 pence
Risk-free interest rate	5.25%	Exercise share price	480, 500 or 548 pence

25. DISCONTINUED OPERATIONS

On 31 July 2023 the trade and assets of WCF Horticulture were transferred to ISJ Horticulture Limited, total proceeds received for stocks of 19k.A summary of financial performance of discontinued operations is as follows:

	2024 £'000
Turnover	19
Cost of Sales	(106)
Gross loss	(87)
Distribution costs	(2)
Administrative expenses	(24)
Operating loss	(113)
Interest receivable and similar income	1
Loss before taxation	(112)
Loss for the financial period	(112)

26. ANALYSIS OF CHANGES IN NET FUNDS

Group

	At 28 May 2023 £'000	Financing cash flows £'000	Other cash flows £'000	At 31 May 2024 £'000
Cash and cash equivalents				
Cash in bank and in hand	10,696	1,784	(2,488)	9,992
Borrowings				
Bank borrowings	-	(1,786)	-	(1,786)
Lease liabilities	(12)	2	-	(10)
	(12)	(1,784)	-	(1,796)
	10,684	-	(2,488)	8,196

27. RESERVES

Retained earnings

Capital redemption reserve

Investment in own shares

Fair value reserve

- cumulative profit and loss net of distributions
- the nominal value of shares repurchased and still held at the end of the reporting period
- relates to the shares held within the Employee Benefit Trust.
- is the cumulative fair value gains and losses relating to investment properties measured at fair value

Included within the Group and Company retained earnings reserve at 31 May 2024 is £nil in respect of unrealised losses (2023: £41k unrealised losses).

WCF LTD - DIVIDEND POLICY

DIVIDEND POLICY

The dividend policy of WCF shall be linked to annual earnings and calculated as follows:

Not less than 30% of profit before non-recurring items excluding the impact of any financial accounting adjustments

This means that shareholder income is directly linked to the current financial success of the company. It is the Board's objective to grow profits annually and we expect this to result in progressive dividend growth for our shareholders. However, shareholders should be aware that a large part of WCF's income comes from bulk fuel oil distribution. By its very nature this is a seasonal business and profits can sometimes be affected by circumstances beyond our control. This has the risk of some volatility of dividend payments going forward. The directors recognise that our shareholders value sustainable dividend growth and will aim to smooth the distribution from retained profits by varying the % pay-out. However, shareholders have the opportunity to benefit financially in a good year.

When setting its dividend policy, the Directors of WCF Ltd have considered several factors when deciding what portion of profits should be paid out to our shareholders, all who own a minority interest, in the form of an annual dividend. Any remaining profits will be shared amongst our employees and re-invested into the company for future:

- Share purchases from those shareholders who wish to sell their shares
- Maintenance and investment in our facilities
- Investment in new sites
- Acquisition opportunities
- New business development
- Credit rating with major supply partners
- Pension funding obligations

The Directors may, at their discretion, agree a special dividend in relation to profits arising from exceptional items.

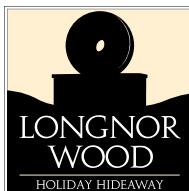
Dividends will be paid annually by December. Any shareholder wishing to receive an annual dividend payment must provide the company with their bank details so that these payments can be made electronically as we no longer make payments by cheque.



Our Brands



Bella di Notte



WCF Ltd., Head Office: Crawhall, Brampton, Cumbria CA8 1TN